

2025 Supplementary Tax Information

The enclosed information may be useful in the preparation of your federal, state, and/or city tax returns.

- U.S. Government Obligations Information
- Percentage of Income Subject to the Federal Alternative Minimum Tax (AMT)
- Percentage of Income Earned by State and U.S. Territory

U.S. Government Obligations Information

In most states, fund dividends derived from U.S. government obligations are generally exempt from state income taxes. The percentage shown below is the portion of the dividend income paid by certain funds that qualifies for this exemption. To calculate the amount of income earned from U.S. government obligations, multiply the percentage by the ordinary dividends you received from the fund during the 2025 calendar year, reported in Box 1a of Form 1099-DIV. Shareholders in CA, CT and NY should note that only the funds denoted with an asterisk (*) meet the minimum investment requirements of these states to permit the “pass-through” of exempt income. Funds not shown had 0% dividend income derived from U.S. government obligations.

Fund Name	Trading Symbol	U.S. Government Obligation
Schwab Treasury Inflation Protected Securities Index Fund*	SWRSX	100.00%
Schwab U.S. Aggregate Bond Index Fund	SWAGX	44.06%
Schwab Short-Term Bond Index Fund*	SWSBX	67.97%
Schwab MarketTrack Growth Portfolio™	SWHGX	11.58%
Schwab MarketTrack Balanced Portfolio™	SWBGX	22.55%
Schwab MarketTrack Conservative Portfolio™	SWCGX	30.94%
Schwab Balanced Fund	SWOBX	34.93%
Schwab Target 2010 Fund	SWBRX	39.16%
Schwab Target 2015 Fund	SWGRX	37.53%
Schwab Target 2020 Fund	SWCRX	35.92%
Schwab Target 2025 Fund	SWHRX	35.20%
Schwab Target 2030 Fund	SWDRX	24.36%
Schwab Target 2035 Fund	SWIRX	16.75%
Schwab Target 2040 Fund	SWERX	12.18%
Schwab Target 2045 Fund	SWMRX	8.64%
Schwab Target 2050 Fund	SWNRX	5.63%
Schwab Target 2055 Fund	SWORX	3.89%
Schwab Target 2060 Fund	SWPRX	2.75%
Schwab Target 2065 Fund	SWQRX	1.46%
Schwab Monthly Income Fund—Target Payout	SWJRX	13.79%
Schwab Monthly Income Fund—Flexible Payout	SWKRX	14.17%
Schwab Monthly Income Fund—Income Payout	SWLRX	16.01%

U.S. Government Obligations Information (continued)

Fund Name	Trading Symbol	U.S. Government Obligation
Schwab Target 2010 Index Fund	SWYAX	40.37%
Schwab Target 2015 Index Fund	SWYBX	38.54%
Schwab Target 2020 Index Fund	SWYLY	40.08%
Schwab Target 2025 Index Fund	SWYDX	38.38%
Schwab Target 2030 Index Fund	SWYEX	28.78%
Schwab Target 2035 Index Fund	SWYFX	20.89%
Schwab Target 2040 Index Fund	SWYGX	15.51%
Schwab Target 2045 Index Fund	SWYHX	10.93%
Schwab Target 2050 Index Fund	SWYMX	6.99%
Schwab Target 2055 Index Fund	SWYJX	4.91%
Schwab Target 2060 Index Fund	SWYNX	3.45%
Schwab Target 2065 Index Fund	SWYOX	1.84%
Schwab Government Money Fund ¹	SWGXX/SNVXX/SGUXX	36.20%
Schwab Retirement Government Money Fund	SNRXX	35.58%
Schwab Treasury Obligations Money Fund ¹	SNOXX/SCOXX	31.30%
Schwab U.S. Treasury Money Fund ¹	SNSXX/SUTXX	99.99%
Schwab California Municipal Money Fund ^{*1,2}	SWKXX/SCAXX	73.95%
Schwab AMT Tax-Free Money Fund ¹	SWWXX/SCTXX	79.52%
Schwab Municipal Money Fund ¹	SWTXX/SWOXX	96.41%
Schwab New York Municipal Money Fund ¹	SWYXX/SNYXX	24.81%
Schwab U.S. Aggregate Bond ETF	SCHZ	44.18%
Schwab U.S. TIPS ETF*	SCHP	100.00%
Schwab Short-Term U.S. Treasury ETF*	SCHO	100.00%
Schwab Intermediate-Term U.S. Treasury ETF*	SCHR	100.00%
Schwab Long-Term U.S. Treasury ETF*	SCHQ	100.00%
Schwab Core Bond ETF	SCCR	14.69%
Schwab Government Money Market ETF	SGVT	36.66%

¹ Percentages apply to all share classes.

² Minimum investment requirement permitting the "pass-through" of exempt income generally only applies to California residents.

Percentage of Income Earned by State and U.S. Territory

Most states do not impose income tax on interest income derived from their own municipal obligations or those issued by U.S. territories. The following table shows the percentage of income paid by each fund on a state-by-state basis. To calculate the amount of income attributable to a particular state or territory, you should multiply Form 1099-DIV Box 12 total tax-exempt income you received in 2025 from a particular fund by the appropriate percentage below. Shareholders who are residents of CA, MN and NJ should note that investment thresholds and income limitations may prevent the “pass-through” of state-exempt income.

State	Schwab Municipal Money Fund ¹ (SWTXX/SWOXX)	Schwab AMT Tax-Free Money Fund ¹ (SWWXX/SCTX)	Schwab Tax-Free Bond Fund (SWNTX)	Schwab Opportunistic Municipal Bond Fund (SWHYX)
Alabama	1.50%	5.65%	3.37%	2.59%
Alaska	0.09%	0.03%	0.01%	0.00%
Arizona	0.93%	2.15%	0.81%	1.30%
Arkansas	0.38%	0.00%	0.06%	0.00%
California	2.89%	0.77%	8.53%	8.50%
Colorado	2.28%	3.42%	1.97%	3.13%
Connecticut	0.48%	0.45%	0.87%	0.53%
Delaware	0.11%	0.00%	0.00%	0.00%
District of Columbia	2.52%	1.84%	0.19%	0.81%
Florida	4.97%	4.85%	6.22%	6.96%
Georgia	3.46%	1.74%	3.39%	1.27%
Guam	0.00%	0.00%	0.29%	0.00%
Hawaii	0.30%	0.00%	0.25%	0.06%
Idaho	0.14%	0.11%	0.24%	0.84%
Illinois	3.10%	2.88%	8.28%	6.24%
Indiana	1.23%	2.69%	0.23%	0.16%
Iowa	2.55%	0.56%	0.61%	0.12%
Kansas	0.80%	0.00%	0.41%	0.00%
Kentucky	1.94%	2.05%	1.33%	0.92%
Louisiana	1.07%	0.34%	1.69%	1.20%
Maine	0.63%	0.17%	0.06%	0.41%
Maryland	0.74%	1.09%	0.62%	0.94%
Massachusetts	2.66%	4.13%	2.57%	2.54%
Michigan	2.39%	2.12%	1.78%	0.98%
Minnesota	1.37%	1.34%	0.60%	10.13%
Mississippi	0.45%	0.53%	0.25%	0.15%
Missouri	0.30%	1.06%	2.03%	1.28%
Montana	0.00%	0.00%	0.55%	0.00%
Nebraska	0.73%	0.27%	0.44%	0.30%
Nevada	0.84%	0.01%	0.41%	0.45%
New Hampshire	1.08%	0.34%	0.30%	0.58%
New Jersey	1.85%	1.66%	4.94%	2.96%
New Mexico	0.00%	0.01%	0.08%	0.00%
New York	15.85%	14.75%	12.35%	12.36%
North Carolina	0.37%	0.11%	2.38%	2.18%
North Dakota	0.04%	0.00%	0.01%	0.00%
Ohio	2.91%	3.25%	1.87%	1.19%
Oklahoma	0.11%	0.35%	0.08%	1.24%
Oregon	1.50%	1.09%	1.76%	1.26%
Pennsylvania	2.91%	4.60%	3.75%	2.56%
Puerto Rico	0.00%	0.00%	0.86%	0.43%
Rhode Island	0.11%	0.13%	0.78%	0.94%
South Carolina	0.93%	2.05%	1.78%	1.80%
South Dakota	0.49%	0.00%	0.06%	0.00%
Tennessee	1.68%	2.23%	1.33%	2.01%
Texas	23.01%	23.92%	13.67%	12.41%
Utah	0.47%	0.06%	0.40%	1.27%
Vermont	0.00%	0.00%	0.15%	0.00%
Virginia	1.00%	1.77%	0.90%	0.78%
Washington	1.86%	2.37%	2.67%	2.20%
West Virginia	0.38%	0.00%	0.59%	0.42%
Wisconsin	1.79%	1.06%	1.23%	1.60%
Wyoming	0.81%	0.00%	0.00%	0.00%
Total	100.00%	100.00%	100.00%	100.00%

¹ Percentages apply to all share classes.

Percentage of Income Earned by State and U.S. Territory (continued)

State	Schwab California Municipal Money Fund ¹ (SWKXX/SCAXX)	Schwab New York Municipal Money Fund ¹ (SWYXX/SNYXX)	Schwab California Tax-Free Bond Fund (SWCAX)	Schwab Municipal Bond ETF (SCMB)
Alabama	0.00%	0.00%	0.00%	0.50%
Alaska	0.01%	0.00%	0.00%	0.01%
Arizona	0.00%	0.00%	0.00%	1.40%
Arkansas	0.00%	0.00%	0.00%	0.03%
California	98.59%	0.00%	97.73%	16.67%
Colorado	0.04%	0.00%	0.00%	1.04%
Connecticut	0.00%	0.00%	0.00%	1.70%
Delaware	0.00%	0.00%	0.00%	0.19%
District of Columbia	0.00%	0.00%	0.00%	1.71%
Florida	0.00%	0.00%	0.00%	3.09%
Georgia	0.00%	0.00%	0.00%	2.53%
Guam	0.00%	0.00%	1.39%	0.00%
Hawaii	0.00%	0.00%	0.00%	0.23%
Idaho	0.00%	0.00%	0.00%	0.11%
Illinois	0.09%	0.00%	0.00%	5.52%
Indiana	0.03%	0.00%	0.00%	0.66%
Iowa	0.00%	0.00%	0.00%	0.15%
Kansas	0.00%	0.00%	0.00%	0.36%
Kentucky	0.06%	0.00%	0.00%	0.64%
Louisiana	0.00%	0.00%	0.00%	0.40%
Maine	0.00%	0.00%	0.00%	0.00%
Maryland	0.09%	0.00%	0.00%	1.81%
Massachusetts	0.05%	0.00%	0.00%	4.88%
Michigan	0.01%	0.00%	0.00%	1.22%
Minnesota	0.00%	0.00%	0.00%	0.69%
Mississippi	0.02%	0.00%	0.00%	0.08%
Missouri	0.00%	0.00%	0.00%	0.20%
Montana	0.00%	0.00%	0.00%	0.00%
Nebraska	0.00%	0.00%	0.00%	0.45%
Nevada	0.00%	0.00%	0.00%	0.42%
New Hampshire	0.00%	0.00%	0.00%	0.01%
New Jersey	0.00%	0.00%	0.00%	4.47%
New Mexico	0.00%	0.00%	0.00%	0.10%
New York	0.59%	99.99%	0.00%	26.48%
North Carolina	0.01%	0.00%	0.00%	1.10%
North Dakota	0.00%	0.00%	0.00%	0.00%
Ohio	0.11%	0.01%	0.00%	0.93%
Oklahoma	0.00%	0.00%	0.00%	0.68%
Oregon	0.00%	0.00%	0.00%	0.63%
Pennsylvania	0.19%	0.00%	0.00%	3.15%
Puerto Rico	0.00%	0.00%	0.88%	0.00%
Rhode Island	0.00%	0.00%	0.00%	0.11%
South Carolina	0.01%	0.00%	0.00%	0.59%
South Dakota	0.00%	0.00%	0.00%	0.00%
Tennessee	0.00%	0.00%	0.00%	0.85%
Texas	0.06%	0.00%	0.00%	9.27%
Utah	0.00%	0.00%	0.00%	0.33%
Vermont	0.00%	0.00%	0.00%	0.00%
Virginia	0.03%	0.00%	0.00%	1.42%
Washington	0.00%	0.00%	0.00%	2.50%
West Virginia	0.00%	0.00%	0.00%	0.03%
Wisconsin	0.01%	0.00%	0.00%	0.58%
Wyoming	0.00%	0.00%	0.00%	0.08%
Total	100.00%	100.00%	100.00%	100.00%

¹ Percentages apply to all share classes.

Percentage of Income Subject to the Federal Alternative Minimum Tax (AMT)

Depending on your individual tax situation, you may be required to file IRS Form 6251, Alternative Minimum Tax—Individuals. Please refer to Box 13 on your Form 1099-DIV from Charles Schwab & Co., Inc. for the amount of tax-exempt interest dividends you earned that should be included on IRS Form 6251, if any. For more information about national and state-specific money funds and bond funds, please visit [schwabassetmanagement.com](https://www.schwabassetmanagement.com).

Note: Capital gains from municipal ("tax-free", "tax-exempt") securities are not exempt from Federal taxation.

For advice on your particular tax situation, or for more information on the taxes covered in this supplement, please consult a professional tax advisor, the Internal Revenue Service or your state tax authority.

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